

6-3a First-In, First-Out Method

When the FIFO method is used, costs are included in the cost of goods sold in the order in which they were purchased. This is often the same as the physical flow of the goods. Thus, the FIFO method often provides results that are about the same as those that would have been obtained using the specific identification method. For example, grocery stores shelf milk and other perishable products by expiration dates. Products with early expiration dates are stocked in front. In this way, the oldest products (earliest purchases) are sold first.

To illustrate, [Exhibit 3](#) shows the use of FIFO under a perpetual inventory system for [Item 127B](#).

Exhibit 3

Entries and Perpetual Inventory Account (FIFO)

Item 127B										
		Purchases			Cost of Goods Sold			Inventory		
Date		Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost	Quantity	Unit Cost	Total Cost
Jan. 1								1,000	20.00	20,000
4					700	20.00	14,000	300	20.00	6,000
10		500	22.40	11,200				300	20.00	6,000
								500	22.40	11,200
22					300	20.00	6,000			
					60	22.40	1,344	440	22.40	9,856
28					240	22.40	5,376	200	22.40	4,480
30		600	23.30	13,980				200	22.40	4,480
								600	23.30	13,980
31	Balances						26,720			18,460

The journal entries and the subsidiary inventory ledger for Item 127B are shown in [Exhibit 3](#) as follows:

1. The beginning balance on January 1 is \$20,000 (1,000 units at a unit cost of \$20.00).
2. On January 4, 700 units were sold at a price of \$30 each for sales of \$21,000 (700 units at a selling price of \$30 per unit). The cost of goods sold is \$14,000 (700 units at a unit cost of \$20). After the sale, there remains \$6,000 of inventory (300 units at a unit cost of \$20).
3. On January 10, \$11,200 is purchased (500 units at a unit cost of \$22.40). After the purchase, the inventory is reported on two lines, \$6,000 (300 units at a unit cost of \$20.00) from the beginning inventory and \$11,200 (500 units at a unit cost of \$22.40) from the January 10 purchase.

4. On January 22, 360 units are sold at a price of \$30 each for sales of \$10,800 (360 units at a selling price of \$30 per unit). Using FIFO, the cost of goods sold of \$7,344 consists of \$6,000 (300 units at a unit cost of \$20.00) from the beginning inventory plus \$1,344 (60 units at a unit cost of \$22.40) from the January 10 purchase. After the sale, there remains \$9,856 of inventory (440 units at a unit cost of \$22.40) from the January 10 purchase.
5. The January 28 sale and January 30 purchase are recorded in a similar manner.
6. The cost of goods sold for January of \$26,720 is determined by adding the cost of the items sold in the Cost of Goods Sold column.
7. The ending balance on January 31 is \$18,460. This balance is made up of two layers of inventory as follows:

	Date of Purchase	Quantity	Unit Cost	Total Cost
Layer 1:	Jan. 10	200	\$22.40	\$ 4,480
Layer 2:	Jan. 30	<u>600</u>	23.30	<u>13,980</u>
Total		<u><u>800</u></u>		<u><u>\$18,460</u></u>